

26STCV03749 26STCV03749

County: los-angeles

Division: Civil Law and Motion

Department: 414

Hearing date: 2026-08-13

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C414%2C08%2F13%2F2026

Source SHA-256: 36f206d243f971ed3104fe74a385b96d13fa4687f59e1f2ad0bdd4f755b8d617

Case Number: 26STCV03749 Hearing Date: August 13, 2026 Dept: 414

26STCV03749

Team Elite Genetics, LLC v. Broadway Alliance, LLC, et al.

Thursday,

August 13, 2026

[TENTATIVE] ORDER SUSTAINING DEMURRER IN PART AND OVERRULING IN PART AS TO THE SIXTH, NINTH, TWELFTH, FIFTEENTH, TWENTY FIFTH, TWENTY-SIXTH, AND TWENTY SEVENTH CAUSES OF ACTION IN FIRST AMENDED CROSS-COMPLAINT (4745)

I. BACKGROUND

The

complaint alleges that the parties are in the cannabis industry. The action arises from Defendants' alleged breach of the parties' Services Agreement, wherein Plaintiff Team Elite Genetics, LLC ("Team Elite" or "Plaintiff") would cultivate its strains at its facilities, and Defendants would distribute Plaintiff's products. Plaintiff alleges claims for injunctive relief, breach of contract, and related contract claims, trade secret misappropriation, conversion, and unfair competition.

On

May 18, 2026, Defendants, Broadway Alliance, LLC; Broadway Alliance Cultivation, LLC; and Danny Abdelmalak (collectively, "Broadway") filed a first amended Cross-Complaint against Team Elite; Steven Castillo; Paet Real Estate, LLC, dba Stella Farms; Garrett Sullivan; and David Maldonado alleging 30 causes of action for breach of contract, breach of fiduciary duty, breach of the implied duty of good faith and fair dealing, interference with contract claims,

trespass, and related claims.

Cross-Defendant,

Paet Real Estate, LLC dba Stella Farms ("Stella Farms" or Cross-Defendant)

demurs to the following claims:

1.

(6) Intentional interference with
prospective economic advantage

2.

(9) Negligent interference with
prospective economic advantage

3.

(12) Intentional interference with
contractual relations

4.

(15) Negligent interference with
contract relations

5.

(25) Civil conspiracy

6.

(26) Negligence

7.

(27) Unfair competition

Stella

Farms argues it was not a party to the Services Agreement at the heart of this
action. Stella Farms

is alleged only to have commenced a commercial relationship with Team Elite for

the sale and purchase of cannabis

products at some unspecified later date. Stella Farms is not alleged to owe a
duty to Cross-complainants, such that its alleged interference with Broadway's
relationship was independently wrongful other than for the alleged

interference.

II. LEGAL STANDARDS

A demurrer tests the sufficiency of a

complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the

complaint's sufficiency, the court must assume the truth of the properly pleaded factual allegations as well as facts that can be reasonably inferred from those expressly pleaded facts. The court may also consider matters properly subject to judicial notice. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

III.

DISCUSSION

A.

Material alleged facts

Cross-Complainant

Broadway entered into a consulting Services Agreement with Cross-Defendant Team Elite wherein Team Elite provided a system of cannabis cultivation and production for Broadway's use and licensed all necessary genetic stock and plants to Broadway. (1st Am. Cross-compl. ¶ 15.) Team Elite granted Broadway an exclusive and irrevocable royalty-free right and license to use, market, and distribute for sale the top five highest selling cannabis strains and products developed by Team Elite Genetics, LLC ("TEG"). (1st Am. Cross-compl. ¶ 14-16.)

Broadway

and Team Elite jointly developed "Rosin" products including vape products that could not be provided to any third party. (1st Am. Cross-compl. ¶ 21.)

Broadway

alleges Team Elite breached the Agreement by in part, providing Broadway's exclusive distribution rights to distribution and sale of TEG products to a separate entity. (1st Am. Cross-compl. ¶ 27.) Broadway sent a termination notice to Team Elite and its owner Steven Castillo ("Castillo"). (1st Am. Cross-compl. ¶ 29.)

B.

(6) Intentional interference with prospective economic advantage. Sustained.

To

prevail on a claim for intentional interference with prospective economic advantage, plaintiff must prove "(1) the existence, between the plaintiff and some third party, of an economic relationship that contains the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentionally wrongful acts designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm proximately caused by the defendant's action." (Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc. (2017) 2 Cal.5th 505, 512.)

Additionally,

the plaintiff must show that that defendant's conduct was "wrongful by some legal measure other than the fact of interference itself." (Ixchel Pharma, LLC v. Biogen, Inc. (2020) 266 Cal.Rptr.3d 665.) An act is independently wrongful if it is unlawful, ie., "it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard." (Id. at 1142.)

The

first amended Cross-Complaint alleges that Stella Farms was aware of and aided Team Elite's breach of the Agreement with Broadway. (1st Am. Cross-compl. ¶ 42.) Stella Farms was allegedly aware that Broadway had expected relationships with third party clients in the commercial cannabis field, in which Broadway had a probability of future economic benefit. (1st Am. Cross-compl. ¶ 78.) Stella Farms intentionally interfered with those relationships by in part, purchasing and reselling the TEG and Rosin products to which Cross-Complainants Broadway had an exclusive right under the Agreement to sell and distribute resulting in Broadway's ability to process and sell quality products to potential clients in this business field. (1st Am. Cross-compl. ¶ 79.)

Stella

Farms argues that Cross-Complainant is required to plead a specific economic relationship with a particular third party that carries a sufficient probability of future economic benefit. This is not supported by the case cited. The "third party" does not have to be identified by name; "it was enough

that the defendant was aware its actions would frustrate the legitimate

expectations of a specific, albeit unnamed" third party. (Westside Center Associates v. Safeway Stores 23, Inc. (1996) 42 Cal.App.4th 507, 527,

citing Ramona Manor Convalescent Hospital v. Care Enterprises (1986) 177 Cal.App.3d 1120, 1133 ["We are not persuaded knowledge of the injured party's specific

identity or name is a prerequisite to recovery ... It is sufficient that he is identified in some manner."].)

Cross-Complainant

describes the third parties with whom it had a prospective economic relationship as "various clients in the commercial cannabis field with a probability of economic benefit from those relationships" and "third party clients in the commercial cannabis field, and Cross-Complainants' probability of future economic benefit from those relationships." (1st Am. Cross-compl.

¶ 77, 78.) Stella Farms's reply to this argument is instructive. The third-party relationship has to exist. (Westside at 527 ["Without an existing relationship with an identifiable buyer, WCA's expectation of a future sale was 'at most a hope for an economic relationship and a desire for future benefit'"]; Westside at 526 ["These requirements presuppose the relationship existed at the time of the defendant's allegedly tortious acts lest liability be imposed for actually and intentionally disrupting a relationship which has yet to arise."].) An essential element of the tort of intentional interference with prospective business advantage is the existence of a business relationship with which the tortfeasor interfered." (Roth v. Rhodes (1994) 25

Cal.App.4th 530, 546. Elsewhere in the

Cross-Complaint, Broadway characterizes the relationship with third parties as "potential clients." (1st Am. Cross-compl. ¶ 79.) The facts are insufficient to support an existing relationship with a third party.

Stella Farms is alleged to have

interfered with Broadway's prospective economic advantage by in part, "purchasing and reselling the TEG Products and Rosin products to which Cross-Complainants Broadway Alliance and Broadway Cultivation have an exclusive right under the Agreement, such that these actions will make it – and has made it – difficult to process and sell quality products to potential clients in this business field." (1st Am. Cross-compl. ¶ 79.)

The

allegations do not support that Stella Farms' interference was "wrongful by

some legal measure other than the fact of interference itself.” (Ixchel Pharma, LLC v. Biogen, Inc. (2020) 266 Cal.Rptr.3d 665.) Broadway argues it had an exclusive agreement to license, sell, and distribute the products, “establishing determinable legal rights in favor of Broadway.” (Opp. 11:23-26.) As Stella Farms points out, it was not a party to the agreement between Team Elite and Broadway, and therefore, did not owe Broadway a legal duty arising from contract. The allegations demonstrate that Broadway allegedly had legal rights in its favor vis-à-vis Team Elite arising from their Agreement, to which Stella Farms was not a party. (1st Am. Cross-compl. ¶ 12.)

Broadway argues that Stella Farms aided and abetted Team Elite's breach of the Agreement, and therefore, interfered with Broadway's ability to resell thereby knowingly exploiting Broadway's exclusive license. (Opp. 12:1-6.) The “aiding and abetting” Team Elite's breach of its contractual obligations does not make the interference independently wrongful if Stella Farms is not a party to the Agreement, as Stella Farms observes. That Stella Farms allegedly knew of and intentionally interfered with Broadway's prospective economic advantage does not cure the lack of an “independently wrongful” act by Stella Farms. The “intentional” aspect of the interference is not at issue as Stella Farms argues in reply.

Stella Farms' reply cites *Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503 for the proposition that aiding and abetting another's wrongful conduct does not make the interference independently wrongful. *Applied Equipment* held that conspiracy is not a cause of action but a legal doctrine imposing liability on persons who did not actually commit a tort but shares liability for a common plan or design. (*Applied Equipment* at 510-511.) *Applied Equipment* observed that “[c]ontract and tort are different branches of law. Contract law exists to enforce legally binding agreements between parties; tort law is designed to vindicate social policy.” (*Applied Equipment* at 514.)

C.
(9) Negligent interference with prospective economic advantage. Sustained.

Stella Farms argues that this claim is viable only if Stella Farms owes Broadway a duty of care. (*LiMandri v. Judkins* (1997) 52

Cal.App.4th 326, 348.) Stella Farms may be found liable for negligent interference for loss of expected economic advantage if "a special relationship exists between the parties ... although the parties were not in contractual privity." (J'Aire Corp. v. Gregory (1979) 24 Cal.3d 799, 804.) In opposition, Broadway argues that every case is governed by the general rule that all persons are required to use ordinary care to prevent others from being injured. (Opp. 13:7-9.) However, as both parties acknowledge, under J'Aire, Stella Farms' alleged interference must have intended to and did directly affect Broadway. (Id. at 804.)

Broadway

cites the first amended Cross-Complaint alleging that Stella Farms failed to act with reasonable care." (1st Am. Cross-compl. ¶¶ 97-103.) Failure to act is not the same as an act intending to affect Broadway. Moreover, a claim for negligent interference with prospective economic advantage also requires that the interference be independently wrongful. (National Medical Transp. Network v. Deloitte & Touche (1998) 62 Cal.App.4th 412, 439.

[The trial court erred in omitting the "independently wrongful" jury instruction for the claim for negligent interference with prospective economic advantage.].)

D.

(12) Intentional interference with contract relations. Sustained.

The

elements of this claim require showing "(1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage." (Pacific Gas & Electric Co. v. Bear Stearns & Co. (1990) 50 Cal.3d 1118, 1126.

Stella

Farms argues that the allegation of a valid existing contract with third party clients to provide goods and service is insufficient to support the claim; rather Broadway must identify the contract and the third party. The first amended Cross-Complaint alleges that Broadway entered into valid and existing contracts with third party clients to provide goods and services, namely commercial cannabis products. (1st Am. Cross-compl. ¶¶ 114.) The

specific identification of the party and contract is not required under Pacific Gas.

In

reply, Stella Farms focuses on the third element (also raised in the moving papers) that its alleged intentional acts must be designed to induce a breach or disruption of the contractual relationship. The first amended Cross-Complaint alleges that Stella Farms acts were to purchase and resell the TEG and Rosin products infringing on Broadway's exclusive rights although Stella Farms knew that Broadway had exclusive rights to sell the product. (1st Am. Cross-compl. ¶ 115-116.) The pleading does not allege that Stella Farms engaged in any act designed to induce a third party to breach its contract with Stella Farms. Purchasing inventory from Team Elite is not an act directed to breach a third party's contract with Broadway. Engaging in competition in this manner is not actionable. (*Imperial Ice Co. v. Rossier* (1941) 18 Cal.2d 33, 36–37 ["A person is likewise free to carry on his business, including reduction of prices, advertising, and solicitation in the usual lawful manner although some third party may be induced thereby to breach his contract with a competitor in favor of dealing with that person." (*Id.*)

E.

(15) Negligent interference with contractual relations

Broadway

agrees to dismiss this claim.

F.

(25) Civil Conspiracy. Sustained.

Broadway

argues it has alleged facts to support this claim. Cross-Complainant must allege to show "the formation and operation of a conspiracy, the wrongful act of any of the conspirators, thereto and damage resulting therefrom." (*117 Sales Corp. v. Olsen* (1978) 80 Cal.App.3d 645, 649.) The pleading alleges that Stella Farms and others were aware that Team Elite planned to commit the wrongful act of breach of contract and interference with Broadway's economic relations. (1st Am. Cross-compl. ¶ 201.) Stella Farms and Team Elite agreed that Team Elite intended to breach its contract with Broadway by selling the TEG strains and interfering with Broadway's economic and contractual relationships. (1st Am.

Cross-compl. ¶ 202.)

Aiding

and abetting Team Elite in breaching its contract with Broadway is not an independent wrong since Stella Farms is not a signatory to the contract as noted previously. This claim also depends on the viability of the claims for negligent and intentional interference with prospective economic advantage, and interference with contract relations, all of which are defective as alleged. Accordingly, this claim is equally defective.

The

claim also alleges a conspiracy between Team Elite and Stella Farms to permanently destroy the crops harvested under the agreement in retaliation for Broadway's termination of the agreement. (1st Am. Cross-compl. ¶ 33.) The alleged purpose of this conspiracy was to ensure that Broadway would no longer hold the exclusive rights in the products in violation of the Agreement, thereby intentionally depriving Broadway of its expected economic advantage, market position, reputation and total loss of the crop's commercial value. (1st Am. Cross-compl. ¶ 202.)

Stella

Farms argues that Broadway failed to identify participants in the conversation, a date, or terms of the agreement supposedly reached, and therefore lacks specificity. This purported requirement is not supported by any authority. Stella Farms requires evidentiary facts that are not required at the pleading stage. General rules of pleading do not require that the plaintiff plead evidentiary facts supporting the allegation of ultimate fact. (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1390 ["It is both improper and insufficient for a plaintiff to simply plead the evidence by which he hopes to prove such ultimate facts."].

Regardless,

this claim remains defective to the extent it is derived from the underlying claims.

G.

(27) Unfair Competition.

Sustained.

As defined

by statute, "unfair competition" includes "any unlawful, unfair or fraudulent business act or practice." (Bus. & Prof. Code, § 17200). Its purpose is to protect both consumers and competitors by promoting fair competition in commercial markets for goods and services." (Gutierrez v. Carmax Auto Superstores California (2018) 19 Cal.App.5th 1234, 1265).

The UCL is stated in the disjunctive;

Plaintiff need only allege a claim that is unlawful, unfair, or fraudulent.

Under Section 17200, a practice is prohibited as 'unfair' or 'deceptive' even if not 'unlawful' and vice versa." (Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co. (1999) 20 Cal.4th 163, 180.) The scope of section 17200 is broadly construed and stated in "sweeping language to permit tribunals to enjoin on-going wrongful business conduct in whatever context such activity might occur. Indeed, ... the section was intentionally framed in its broad, sweeping language, precisely to enable judicial tribunals to deal with the innumerable 'new schemes which the fertility of man's invention would contrive.'" (Cel-Tech at 181.)

Section 17200 "borrows" violations of other laws and treats them as unlawful practices, however, "a practice may be deemed unfair even if not specifically proscribed by some other law." (Cel-Tech at 180.)

Stella Farms argues that because this is a derivative claim, it fails with the underlying causes of action. Stella Farms also contends that Broadway did not allege facts to support its standing to assert the claim. In opposition, Broadway contends the underlying causes of action are adequately alleged.

As discussed, previously the underlying causes of action from which the unfair competition claim is derived are defective as alleged.

To meet standing requirements,

Cross-Complainant must allege that it "suffered injury in fact and has lost money or property as a result of the unfair competition." (Bus. & Prof. Code, § 17204.) Assuming the underlying claims can be cured, the standing requirement is met.

IV.

CONCLUSION

Accordingly, demurrer is SUSTAINED as to the following: (6) Intentional interference with prospective economic advantage; (9) Negligent interference with prospective economic advantage; (12) Intentional interference with contractual relations; (15) Negligent interference with contract relations (no dismissal of this cause of action has been filed) ; (25) Civil conspiracy and (27) Unfair competition.

While the notice includes a demur to the 26th cause of action for negligence, it is not addressed in Stella Farms's points and authorities, and therefore, demurrer to the 26th cause of action is OVERRULED.